

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 26-01

20230930-DK-BUTTERFLY-1, INC. v. HMM COMPANY LIMITED

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO
RESPONDENT'S PARTIAL MOTION TO DISMISS**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondent HMM Company Limited’s (“HMM”) Partial Motion to Dismiss (the “Motion”) Complainant’s Verified Complaint in this proceeding (the “Complaint”), and states as follows in support of such opposition.

STANDARD

The “Commission looks to . . . [Federal Rule of Civil Procedure] 12(b)(6) when considering dismissals based on failure to state a claim.” *MCS Industries, Inc. v. Cosco Shipping Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *3 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022) (“*MCS I*”) (quoting *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2 F.M.C.2d 198, 202, 2020 WL 13512925, at *4 (Fed. Mar. Comm’n Oct. 29, 2020)), *aff’d sub nom. MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (Fed. Mar. Comm’n Jan. 3, 2024) (“*MCS II*”).¹

“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MCS I*, 2022 WL 458569, at *3 (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

The facts alleged must ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) The facts alleged must allow the Commission to reasonably infer that respondent may be liable for the conduct alleged and provide ‘*fair notice*’ of the nature of the claims and bases for asserting them.

¹ Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

MAVL Capital, 2020 WL 13512925, at *5 (emphasis added). “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS I*, 2022 WL 458569, at *4 (citation omitted).

ARGUMENT

The allegations in the Complaint are plainly sufficient to state the claims asserted in Counts III and IV under applicable law, and HMM’s Motion must accordingly be rejected. **First**, HMM’s Motion improperly seeks to narrow the scope of the sections of the Shipping Act of 1984, as amended (the “Shipping Act”) invoked in the Complaint in order to argue, incorrectly, that the Complaint does not state a claim under the Shipping Act. In reality, however, other portions of the same sections of the Shipping Act conspicuously omitted by Respondent **directly** cover BBY’s claims. **Second**, the Motion inappropriately asserts new, countervailing factual inferences from the Complaint’s allegations that ignore the well-settled standard of review for motions brought pursuant to Rule 12(b)(6). **Third**, HMM misleadingly focuses on certain allegations in isolation, ignoring other supporting allegations that, taken together, sufficiently allege each of the elements of each claim.

A. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 46 U.S.C. § 41104(a)(2) of the Shipping Act (Count III).

The Motion fails as to Count III because it ignores the plain allegations of the Complaint and unduly narrows the plain language of the Shipping Act. The Motion must be denied.

HMM admits, as it must, that 46 U.S.C. Section 41104(a)(2) makes it unlawful for a carrier to “provide service in the liner trade that is . . . not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into”. (Mot. at 3-4.) The Motion, however, then attacks the sufficiency of Count III of BBY’s Complaint under 46 U.S.C. Section 41104(a)(2) because, it claims, BBY has not alleged that

containers were transported at rates other than those in service contracts or that shipments were transported “at other than contract rates”. (Mot. at 4.) In advancing this argument, HMM focuses on an earlier version of the Shipping Act, which barred “demands” for compensation different than filed rates and service contracts, but HMM *ignores* the very language that it itself quotes from the current Shipping Act, which also makes it unlawful to directly or indirectly “provide service in the liner trade” that is not in accordance with “*rules*” and “*practices*” related to service contracts. BBBY alleges in Count III that HMM’s *practices* of systematically failing to meet its service commitments and coercing Complainant to pay extracontractual surcharges just to carry previously bargained-for volumes of cargo under the service contracts “constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in HMM’s Service Contracts with Complainant”. (Compl. ¶ 109.) This plainly states a claim under the Shipping Act as pled.

As the Commission has previously found with respect to virtually identical allegations, BBBY’s allegations that HMM systematically failed to meet its service commitments and coerced premium pricing and extracontractual surcharges sufficiently allege violations of Section 41104(a)(2):

- “The parties do not assert that the service contract has been suspended or prohibited, so section 41102(a)(2)(B) does not apply. ***The amended complaint alleges that Respondent’s actions were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ service contract.*** The complaint does not allege a breach of the service contract but rather that Respondent’s rules and practices violated the Shipping Act. Moreover, ***this section specifically and explicitly applies to service contracts.*** Therefore, ***the amended complaint properly alleges a plausible violation of section 41102(a)(2)(A).***” MCS I, 2022 WL 458569, at *7 (emphasis added); MCS II, 2024 WL 95383, at *7 (affirming same).
- ***A common carrier “disregard[ing] service contracts in favor [of] higher-priced freight and attempt[ing] to coerce extra-contractual surcharges from***

*[a service contract counterparty]” violates Section 41104(a)(2). See MCS I, 2022 WL 458569, at *7 (emphasis added).*

Compare, e.g., Compl. ¶¶ 22, 24, 108-09 (alleging facts as to the claimed Section 41104(a)(2) violation).

Simply put, BBY’s allegations of (a) systemically failing to provide space under the service contract, and (b) coercing PSS and extracontractual surcharges for what little volume HMM did ship adequately claim that shipments were not transported in accordance with the “rules[] and practices” contained in the Service Contracts. 46 U.S.C. § 41104(a)(2). In its bid to get around the actual words of the statute, HMM seeks to invoke legislative history. (Mot. at 5.) HMM’s resort to legislative history, however, is unavailing. First, legislative history may not be used to put forward a construction of a statute that is inconsistent with the statute’s plain language. *See, e.g., United States ex rel. Totten v. Bombardier Corp.*, 380 F.3d 488 (D.C. Cir. 2004) (“[T]he Supreme Court reiterated as recently as this past Term that resort to legislative history is not appropriate in construing plain statutory language”). But even if that were a valid use of legislative history, what that history actually demonstrates is that in 1998, Congress replaced former “sections 10(b)(1) through (3) of the 1984 Act, which are intended to maintain the integrity of the common carrier tariff and service contract systems . . . [with] a single new section 10(b)(2), which is ***intended to accomplish the same purpose.***” S. Rep. No. 105-61, at 27 (1997) (committee report) (emphasis added). Maintaining the integrity of the service contract system is broader than “merely prohibit[ing] the provision of service at unfilled rates.” (Mot. at 4.) HMM contends that Congress narrowed the statute, but the amendments simply streamlined the language to better reflect the growing prominence of service contracts in the 1980s and 1990s as compared to tariff-based

shipping—a shift that *enhanced* the importance of the rules and practices in those contracts and carriers’ compliance with them.²

Finally, HMM improperly assumes a countervailing factual inference that all PSS and extracontractual charges were “consent[ed]” to or “propose[d]” by BBY (Motion p. 4), and that, as such, any service provided under such an amendment could not violate Section 41104(a)(2). While HMM in the very same paragraph acknowledges BBY’s allegation that it was HMM’s practice to “coerc[e] amendments or premium rate addenda”, HMM simply *ignores* that allegation, and thus improperly assumes factual inferences regarding the extracontractual rates imposed by HMM. For that reason, the Motion should be denied. BBY clearly alleges that such charges were not voluntarily agreed to or made with consent, but were instead the result of coercive practices, and accordingly constituted a violation of Section 41104(a)(2).³ (*See* Compl. ¶¶ 44-60.)

B. The Complaint Pleads Sufficient Facts to State a Plausible Claim in Count IV for Relief Under 46 U.S.C. § 41104(a)(10) of the Shipping Act.

The Complaint also alleges an unreasonable refusal to deal claim under Count IV pursuant to 46 U.S.C. § 41104(a)(10) based on “HMM’s practices alleged herein of systematically failing to meet its service commitments to Complainant and preferring higher priced carriage of other shippers’ cargo, and HMM’s acts or omissions that led to the assessment of the [detention and demurrage] Charges”. (Mot. at 6, Compl. ¶ 111.)

In a nutshell, HMM argues that BBY has failed to adequately allege that HMM refused to deal under 46 U.S.C. Section 41104(a)(10) *as a matter of law* because, under HMM’s

² The Shipping Act of 1984 introduced the concept of service contracts and began a process of deregulation, including by shortening the length of contested rate proceedings for conference agreements. *See* <https://www.fmc.gov/about/fmc-history/>. The ICC Termination Act of 1995 repealed the provision of the Shipping Act of 1916 that required each common carrier to “establish, observe, and enforce just and reasonable rates”. Pub. L. No. 104-88, § 335(b), 109 Stat. 953-54; Shipping Act of 1916, § 18, 39 Stat. 735 (46 U.S.C. app. § 817(a) (1988)).

³ To the extent HMM argues that a coerced amendment or service contract, as a matter of law, can never violate Section 41104(a)(2) so long as any freight carried under such an amendment is accurately invoiced, HMM cites no authority for this proposition.

interpretation of the Shipping Act, it can act however it wants towards its service contract customers so long as it (1) does not *entirely* “shut out” customers from cargo space (Mot. at 7) or (2) offers a process for making requests to challenge detention and demurrage penalties (Mot. at 8). HMM argues this despite clear allegations in the Complaint that HMM systematically failed to honor its service commitments under the 2020 and 2021 Service Contracts, falling short by *approximately 600 FEUs* between the two, while simultaneously demanding extracontractual surcharges to carry the cargo that it did agree to accept. (See Compl. ¶¶ 29-66.) HMM’s cherry picking of quotes from the Complaint discussing “extra capacity” (Mot. at 7) ignores the context of BBY’s allegations, in which BBY pleaded with HMM to get space to which it was already entitled but which HMM was not making available to it. The same is true with respect to BBY’s allegations regarding the challenged detention and demurrage charges. HMM’s assertion that its agreement—in one instance—to hear a request for a refund if BBY provided “detailed evidence” somehow bars a claim for refusal to deal as a matter of law is wholly unfounded, especially in light of BBY’s allegations that it faced exceptional terminal congestion, chassis shortages, onerous dual transaction requirements, and a lack of appointments (see Compl. ¶¶ 76-78), as well as *specific examples* of HMM imposing such Charges due to delays outside of BBY’s control. (See Compl. ¶¶ 79-88.)

The Complaint’s detailed, specific allegations regarding (1) the staggering failure of HMM to satisfy its service commitments, (2) HMM’s explicit demands that BBY agree to pay “special rates” or “premium rates” of \$9,000 or \$10,000 per container despite woefully failing to provide that same cargo space under its Service Contracts, and (3) HMM’s improper imposition of detention and demurrage Charges are, on their face, more than sufficient to state a claim that HMM adequately refused to deal with BBY. Moreover, ample precedent from the Commission’s Chief

Administrative Law Judge and the Commission itself have previously found claims under 46 U.S.C. Section 41104(a)(10) were sufficiently pled on similarly alleged facts. *See MCS I*, 2022 WL 458569, at *9 (finding complaint allegations of complainant’s specific attempts to book shipments and respondent ocean carrier’s delayed responses or failures to book respondent’s shipments plausibly alleged a violation of 46 U.S.C. § 41104(a)(10)); *MCS II*, 2024 WL 95383, at *7 (affirming same). The Complaint here similarly states a valid claim for relief under 46 U.S.C. Section 41104(a)(10), and is not subject to dismissal.

HMM’s other purported bases for dismissal of Count IV also fail. First, HMM again relies on inappropriate assertions of disputed issues of fact that cannot support a motion to dismiss—*see, e.g.*, Mot. at 7 (arguing that “HMM . . . made attempts to improve performance, and continued to carry BBY’s cargo throughout the entirety of the relevant time period”)—and simply ignores BBY’s allegations of HMM’s failure to honor its commitments and imposition of extraordinary premium rates and detention and demurrage charges. Second, HMM asks the Presiding Officer to make a determination that, *as a matter of law*, the mere fact that HMM provided *some* service to BBY or provided *some* avenue to challenge detention and demurrage penalties (regardless of the outcome of such challenges) entirely precludes a refusal to deal claim. HMM cites no authority for that argument, which is demonstrably incorrect under *MSC I* and *MSC II*. HMM’s position also ignores the *detailed allegations* of improper conduct resulting in HMM extracting approximately \$8,000,000 in improper charges and extracontractual surcharges while simultaneously forcing BBY to spend even more on the spot market to cover HMM’s MQC shortfalls. HMM also ignores the Complaint’s allegations that, during the time period in question, HMM saw enormous profits, obtained in part through selling space on the spot market at unprecedented high prices. HMM

cannot rely on unsupported contrary factual contentions to support a motion to dismiss, and the Motion must fail.

CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer deny HMM's Partial Motion to Dismiss in its entirety.

Dated: February 11, 2026

Respectfully submitted,

HUTH REYNOLDS LLP

/s/ John Mitchell

Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

Gregory A. Crapanzano II

(917) 575-3440

gcrapanzano@huthreynolds.com

Jack Mitchell

(845) 803-3655

jmitchell@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc., formerly known as Bed Bath &
Beyond Inc.*

Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent HMM Company Limited (“HMM”) by emailing a copy to HMM’s counsel of record listed below:

Joshua Stein (jstein@cozen.com)
Christopher Raleigh (CRaleigh@cozen.com)
Rachel Schwartz (RSchwartz@cozen.com)
Henry Kim (henrykim@cozen.com)
COZEN O’CONNOR
2001 M Street NW
Suite 500
Washington, DC 20036

Counsel for Respondent HMM Company Limited

Dated: February 11, 2026

/s/ John Mitchell

Jack Mitchell

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc., formerly known as Bed Bath &
Beyond Inc.*